25900306 **A**

Reg.No : .....

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) Regular EXAMINATION October 2025

Third SEMESTER

Discipline Specific Elective (DSE) - MG3DSECOM203 - FINANCIAL SERVICES

(2024 ADMISSION ONWARDS)

Duration: 1 Hour 15 Minutes **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

MCQ Questions

Answer any **20** questions

Each question carries **1** marks

1. A merchant banker must certify that the disclosures made in a draft prospectus are true and adequate.This certificate is called: [U] / [CO2]

   a). Audit certificate
   b). Due diligence certificate
   c). Compliance certificate
   d). Investor protection certificate

2. Institutional Venture Capital typically differs from Angel Investment in that: [U] / [CO3]

   a). It involves individuals investing their own wealth
   b). It pools money from large entities like pension funds and invests in later-stage ventures
   c). It does not take equity ownership
   d). It provides only mentorship without funding

3. Exporter A sells perishable goods, Exporter B sells capital equipment. Which service is more appropriate to Exporter B, and why? [An] / [CO4]

a). Exporter B – forfaiting, because perishable goods need fast cash

b). Exporter B – Leasing, because it is for large-ticket items

c). Exporter B – forfaiting, because it matches long-term, high-value receivables

d). Exporter B – factoring, because it covers political risks

4. Dominant category of brokers in India as of 2025 is: [U] / [CO5]

a). Institutional brokers

b). Discount brokers

c). Specialized brokers

d). Sub-brokers

5. A financial lease is similar in nature to: [U] / [CO4]

a). Hire purchase

b). Bank overdraft

c). Bill discounting

d). Factoring

6. The main focus of merchant banking is _____. [U] / [CO1]

a). Retail lending to individuals

b). Regulating stock exchanges

c). Corporate financial advisory and fund-raising

d). Managing deposit accounts of the public

7. Which of the following is India's first government-backed venture capital fund? [U] / [CO3]

a). SIDBI Venture Capital Ltd.

b). ICICI Venture

c). UTI Venture Funds

d). Gujarat Venture Finance Ltd. (GVFL)

8. Which form of factoring combines financing, collection, and credit protection in a full-service package? [U] / [CO4]

a). Invoice discounting

b). Supplier guarantee factoring

c). Recourse factoring

d). Full factoring

9. The investor interface with depository is managed through: [E] / [CO5]

a). Clearing Corporation

b). Depository Participant

c). Registrars

d). Stock exchanges

10. The main purpose of credit rating is to indicate: [U] / [CO5]

a). The credit limit fixed by banks

b). The likelihood of timely repayment of debt

c). The sales growth of a company d). The net worth of shareholders

11. Financial intermediaries contribute to economic efficiency by_____. [U] / [CO1]

a). Facilitating investment and risk management b). Providing payment and settlement systems

c). Offering financial advisory and consultancy services d). Pooling savings and lending to productive sectors

12. In which type of securitisation are the cash flows generated from credit card dues or vehicle loans pooled? [An] / [CO4]

a). Mortgage-Backed Securitisation b). Asset-Backed Securitisation

c). Synthetic Securitisation d). Lease Securitisation

13. The function of a factor that involves assessing customers' financial position and advising the client is called: [U] / [CO4]

a). Credit protection b). Sales ledgering

c). Advisory function d). Collection servic

14. The ability to use resources effectively to control costs relates to: [U] / [CO5]

a). Operational efficiency b). Market image

c). Interest coverage ratio d). Liquidity

15. Which of the following best characterizes the connection in a leasing agreement? [U] / [CO4]

a). Buyer – Seller b). Borrower – Lender

c). Lessor – Lessee d). Employer – Employee

16. Which of the following is a key function of RBI? [U] / [CO1]

a). Licensing insurance companies b). Controlling inflation and credit flow

c). Regulating stock brokers d). Managing pension schemes

17. In securitisation, credit rating is conducted to: [An] / [CO4]

a). Fix the interest rate of lease b). Assess the quality of asset pool

c). Reduce factoring fee d). Decide taxation benefits

18. Residual value in a lease means: [U] / [CO4]

a). The total rental payments over the lease term

b). The expected value of the asset at the end of the lease term

c). The penalty for early termination

d). The lessee's monthly interest rate

19. For investors, credit rating is needed to: [U] / [CO5]

a). Reduce risk perception

b). Ensure quick profits

c). Avoid all losses

d). Control inflation

20. Which Indian credit rating agency is headquartered in Mumbai? [U] / [CO5]

a). CRISIL

b). CARE

c). Both CRISIL & CARE

d). None of the options given

21. A well-developed financial services sector helps in _____. [U] / [CO1]

a). Enhancing global competitiveness

b). Attracting foreign investments

c). Promoting international trade

d). Strengthening domestic capital markets

22. Which agency regulates and oversees the functioning of Asset Reconstruction Companies (ARCs) under the SARFAESI Act? [An] / [CO4]

a). Ministry of Finance

b). Reserve Bank of India (RBI)

c). SEBI

d). NABARD

[1x20 = 20]

Part B

MCQ Questions

Answer any **25** questions

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23. Consider the following statements and state which of them are true: [U] / [CO4]
1.Factoring is different from a loan because it provides services. 2.Factoring improves working capital management. 3.Factoring eliminates all risks in every case. 4.Factoring involves advance payment and balance settlement.

a). (1) and (4) only

b). (1), (2) and (3) only

c). (2), (3) and (4) only

d). (1), (2), (3) and (4)

24. Consider the following statements. Choose the appropriate option. [E] / [CO5]
Assertion: Custodians must maintain internal controls to safeguard client assets. Reason: Internal controls help prevent unauthorized access and ensure asset safety.

a). Both statements are true and reason explains assertion
b). Both statements are true but reason does not explain assertion
c). Assertion is true, reason is false
d). Assertion is false, reason is true

25. Which of the following differentiates advantages to companies and investors? [U] / [CO5]

a). Companies get lower borrowing cost; investors get better risk assessment
b). Companies get higher tax benefits; investors get guaranteed returns
c). Companies get assured profits; investors get zero risk
d). Companies get dividend assurance; investors get corporate image

26. Merchant Bankers act as a link between corporates raising funds and investors. Which of the following justify this role? A. They coordinate with SEBI and stock exchanges during issue management. B. They mobilize funds from both domestic and international investors. C. They guarantee dividend distribution to shareholders. D. They underwrite public issues to ensure subscription. [U] / [CO2]

a). A, B, and D only
b). B and C only
c). A, C, and D only
d). A, B, C, and D

27. Which of the following statements about exit opportunities in venture capital nurturing are correct? 1.Exit opportunities improve when the investment has been properly nurtured. 2.IPO, acquisition, or merger are common exit routes. 3.Exit decisions are random and unrelated to nurturing. 4.Exit occurs only when the venture fails. [U] / [CO3]

a). 1 & 2 only
b). 3 & 4 only
c). All 1, 2, 3, and 4
d). Only 2

28. Consider the following statements and state which of the statements are true. (1) In factoring, debtors may be asked to pay directly to the factor. (2) In bill discounting, debtors usually pay the drawer of the bill. (3) Factoring includes sales ledger maintenance. (4) Bill discounting includes ledger management services. [An] / [CO4]

a). (1), (2) and (3) only
b). (1) and (4) only

c). (2), (3) and (4) only

d). (1), (2), (3) and (4)

29. Identify the correct pair: [U] / [CO5]

a). Stockbroker – Intermediary in stock market

b). Auditor – Buys securities for clients

c). Banker – Executes stock trades

d). Registrar – Provides investment advice

30. Consider the following statements and choose the most appropriate alternative: Statement I: Leasing is more suitable for assets with high chances of technological obsolescence. Statement II: Hire Purchase is more suitable when long-term ownership and resale value are important. [An] / [CO4]

a). Both statements are true

b). Statement I is true, and Statement II is false

c). Statement I is false, and Statement II is true

d). Both statements are false

31. AIBI contributes to the development of the primary market in India by: [U] / [CO2]
A. Promoting higher standards of disclosure and due diligence B. Creating awareness among investors through information dissemination C. Monitoring compliance of merchant bankers with SEBI guidelines D. Providing credit rating to issuers directly

a). A, B, and C only

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32. Match the following: [U] / [CO5]

a) Dividend	I. Cash distribution
b) Bonus Issue	II. Additional shares free
c) Rights Issue	III. Discounted issue to existing holders
d) Stock Split	IV. Reduction in face value

Options:

a).
a–I, b–II, c–III, d–IV

b).
a–II, b–III, c–IV, d–I

c).
a–III, b–IV, c–I, d–II

d).
a–IV, b–I, c–II, d–III

33. Consider the following statements and choose the most appropriate alternative. Statement I: In forfaiting, the exporter receives immediate [An] / [CO4]

cash by selling receivables to the forfaitor. Statement II: Forfaiting is always done with recourse to the exporter.

a). Both statements are true
b). Statement I is true, and Statement II is false
c). Statement I is false, and Statement II is true
d). Both statements are false

34. Consider the following statements. Choose the appropriate option. [U] / [CO5]
Assertion: Depositories are essential for modern capital markets.
Reason: They enable secure and efficient electronic transactions.

a). Both statements are true and reason explains assertion
b). Both statements are true but reason does not explain assertion
c). Assertion is true, reason is false
d). Assertion is false, reason is true

35. Identify the option that is NOT a feature of specialized brokers: [U] / [CO5]

a). Focus on niche segments such as derivatives or forex trading.
b). Provide targeted expertise for specialized asset classes.
c). Offer 3-in-1 accounts integrating savings, demat, and trading.
d). Serve clients who require expertise in commodities trading.

36. The Indian financial system is broadly divided into _____. [U] / [CO1]

a). Organized and unorganized sectors
b). Public and private sectors
c). Government and non-government sectors
d). Formal and informal sectors

37. Assertion (A): The Pre-Seed Stage is often financed through personal savings, friends, or angel investors rather than institutional venture capital. Reason (R): Institutional venture capitalists avoid extremely high-risk stages where product viability is untested [U] / [CO3]

a). Both A and R are true, and R is the correct explanation of A
b). Both A and R are true, but R is not the correct explanation of A
c). A is true, but R is false
d). Both A and R are false

38. Which sequence correctly represents the process of an operating lease? [U] / [CO4]

a). Lessee selects asset → Lessor purchases asset → Asset given to lessee → Lessee pays rentals → Asset returned to lessor

b). Lessor owns asset → Lessor sells asset → Lessee records depreciation → Asset returned to lessor

c). Lessor purchases asset → Ownership transfers immediately → Lessee pays rentals → Asset returned to lessor

d). Lessee purchases asset → Lessor uses asset → Lessee pays rentals → Asset scrapped

39. To whom do brokers transmit the issue forms after ensuring proper documentation and payment ? [U] / [CO5]

a). Ministry of Finance

b). Designated exchange

c). RBI

d). Registrar of Companies

40. Generative AI in banking helps in _____. [U] / [CO1]

a). Fraud detection, risk management & efficiency

b). Counting physical cash

c). Filing government taxes automatically

d). Opening new bank branches

41. Which of the following is a fee-based financial service? [U] / [CO1]

a). Bill discounting

b). Lease financing

c). Advisory services

d). Term loans

42. Which risk specifically limits securitisation when originators repurchase poor-quality loans? [An] / [CO4]

a). Credit risk

b). Reputational risk

c). c) Counterparty risk

d). d) Prepayment risk

43. Consider the following statements about Operating Lease: Statement (1): It is usually for a short period. Statement (2): It is cancellable by the lessee. Statement (3): The risks and rewards of ownership remain with the lessor. Which of the above statements are correct? [U] / [CO4]

a). (1) and (2) only

b). (2) and(3)only

c). (1)and(3) only

d). (1), (2) and(3)

44. Which of the following is NOT matched correctly? [U] / [CO5]

a). Sovereign rating – Nation's creditworthiness

b). Corporate rating – Company's debt servicing ability

c). Project rating – Individual investor's creditworthiness

d). Structured finance rating – Asset-backed securities

45. Which of the following statements are correct features of venture capital? 1.Venture capital is a form of long-term equity financing. 2.It involves high risk with the possibility of high returns. 3.Venture capitalists actively participate in management and strategic decisions. 4.It guarantees fixed returns to investors. [U] / [CO3]

a). 1, 2 & 3 only

b). 2 & 4 only

c). 1 & 4 only

d). All 1, 2, 3 & 4

46. Consider the following statements. Choose the appropriate option. Assertion: DPs facilitate rematerialisation of securities. Reason: Rematerialisation converts electronic holdings back into physical certificates. [U] / [CO5]

a). Both statements are true and reason explains assertion

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47. A healthcare startup is acquired by a multinational firm because of its patented technology. Which exit strategy does this illustrate? [U] / [CO3]

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48. Which of the following situations clearly indicates a financial lease and not an operating lease? [An] / [CO4]

a). Lease rentals are expensed in the income statement of lessee

b). Lessee has the option to buy the asset at a nominal price at lease end

c). Lease term is shorter than the useful life of the asset

d). Lessor retains responsibility for repair and maintenance

49. Fundamental analysis for credit rating focuses on: [U] / [CO5]

a). Future prospects and intrinsic value of the firm

b). Salary structure of employees

c). Office infrastructure

d). Advertising strategies

[2x25 = 50]

A

25900306 **B**

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[1x20 = 20]

Part B

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c). Companies get assured profits; investors get zero risk

d). Companies get dividend assurance; investors get corporate image

47. Which of the following statements about exit opportunities in venture capital nurturing are correct? 1.Exit opportunities improve when the investment has been properly nurtured. 2.IPO, acquisition, or merger are common exit routes. 3.Exit decisions are random and unrelated to nurturing. 4.Exit occurs only when the venture fails. [U] / [CO3]

a). 1 & 2 only

b). 3 & 4 only

c). All 1, 2, 3, and 4

d). Only 2

48. Which sequence correctly represents the process of an operating lease? [U] / [CO4]

a). Lessee selects asset → Lessor purchases asset → Asset given to lessee → Lessee pays rentals → Asset returned to lessor

b). Lessor owns asset → Lessor sells asset → Lessee records depreciation → Asset returned to lessor

c). Lessor purchases asset → Ownership transfers immediately → Lessee pays rentals → Asset returned to lessor

d). Lessee purchases asset → Lessor uses asset → Lessee pays rentals → Asset scrapped

49. Consider the following statements. Choose the appropriate option. [U] / [CO5]
Assertion: Depositories are essential for modern capital markets.
Reason: They enable secure and efficient electronic transactions.

a). Both statements are true and reason explains assertion

b). Both statements are true but reason does not explain assertion

c). Assertion is true, reason is false d). Assertion is false, reason is true

[2x25 = 50]

B